

Earnings Digest: IonQ, Inc. (NYSE: IONQ)

Period: Q2 2026 (quarter ended June 30, 2026) Reported: August 5, 2026 (after market close)

Executive Summary

IonQ delivered its fifth consecutive record quarter: revenue of \$80.1M beat consensus (~\$66.5M) by ~20% and its own guidance midpoint by 20%, growing 287% YoY, with adjusted EPS of (\$0.33) roughly in line to slightly better than estimates — while GAAP EPS of (\$5.08) was distorted by ~\$1.5B of non-cash fair-value losses on warrants and investments [1][4][5]. The forward debate now hinges on three things: (1) whether the just-closed \$1.8B SkyWater acquisition delivers a credible, vertically integrated semiconductor path to the 256-qubit (2027 commissioning) and 10,000-qubit roadmap; (2) whether hardware-heavy growth (gross margin ~25%, down from ~56% in Q4 2025) can eventually carry economics that justify a ~\$15B market cap at ~48x FY26E sales; and (3) the cash burn trajectory (~\$255M operating outflow this quarter against ~\$2.0B pro-forma liquidity) [1][3][16]. The raised FY26 guide of \$280-290M (vs ~\$268.6M consensus) is now largely priced in after a ~5-8% pre-market pop; the September 8 Investor Day and Q3’s first combined-company guidance are the next tests [4][7][11].

Thesis check

Bull narrative

- **Status:** Strengthened
- **Because:** Fifth straight record quarter with organic revenue up 132% YoY in Q2; RPOs up 297% YoY giving real forward visibility; revenue mix broadening (~50% international, ~60% commercial, ~25% multi-product), reducing single-customer/government dependence; SkyWater closed, making IonQ the only vertically integrated full-stack quantum platform, with first fully integrated QPU prototypes already back from the fab and under test; FY26 guidance raised to \$280-290M with 100% organic growth reaffirmed [1][2][3]. Policy tailwind: June 22 White House quantum executive orders elevate quantum to a national priority, and IonQ signed MOUs with Anduril and Sandia plus won an NRO radar contract and a DARPA extension [1][3][13].

Bear narrative

- **Status:** Mostly unchanged, marginally strengthened on margins and burn
- **Because:** Gross margin collapsed to ~25% (vs ~56% in Q4 2025) as revenue shifts to lower-margin hardware system deployments — growth is being bought with hardware economics, not software-like margins [16]. Operating expenses of \$357M dwarf revenue; adjusted EBITDA loss widened to (\$120.3M) and Q2 operating cash outflow was ~\$255M [1][16]. Implicit standalone 2H guide of \$135-145M suggests roughly flat-to-down H2 vs H1’s \$144.7M — management deflected the Q3/Q4 split question to combined-company guidance later [3]. Dilution is chronic (weighted shares +46% YoY; SkyWater paid mostly in stock), adjusted EPS loss widened YoY ((\$0.33) vs (\$0.08)), and the thesis still rests on technical milestones (256-qubit commissioning, error correction at scale) that remain unproven [3][4].

Quality signals

Signal	This Q	Prior Q	Trend	
OCF vs NI	OCF (\$254.8M) vs GAAP NI (\$1,867.7M); NI dominated by ~\$1.5B non-cash fair-value losses — cash burn, not GAAP loss, is the real signal. OCF burn is ~2x the (\$120.3M) adj. EBITDA loss [1][16]	OCF (\$151.0M) vs NI +\$805.4M (non-cash fair-value gains) [16]	Burn accelerating with hardware ramp and SkyWater commercial spend (\$24.7M in Q2)	Whether combined-company OCF burn stabilizes below ~\$250M/qtr; watch WC swings as system deployments scale
DSO	~120 days (AR \$105.9M on \$80.1M revenue) [16]	~163 days (AR \$117.2M on \$64.7M) [16]	Improving but structurally high — system/government contracts	Rising unbilled/AR outpacing revenue again; RPO-to-revenue conversion pace
Inventory	Reported \$0 vs \$70.6M in Q1 — likely reclassification with deployments/acquisition accounting; data anomaly, verify in 10-Q [16]	\$70.6M	Unclear	10-Q detail on inventory vs contract assets; build-ahead for Tempo/256-qubit systems
Guidance credibility	Beat own guidance midpoint by 20%; second FY26 raise this year; five consecutive quarters of record results [1][3]	Beat and raised	Strong track record on revenue guides	First combined IonQ+SkyWater guidance (Q3): intercompany eliminations (~\$120M FY26 spend) make the bridge messy — watch for optical “growth” resets [3]

Sentiment & positioning

Data type	Metric / fact	Source	As of
Sentiment (quantified)	Not available (no quantified sentiment score exposed); news tone on the print skews positive (double beat + raise) with profitability caveats	Bigdata.com search	Aug 6, 2026
Options / short	Institutional 13F-reported puts value \$589.3M vs calls \$553.9M — put-skewed; both down sharply QoQ (puts -34%, calls -17%). Short interest: Not available. Beta 3.23	Bigdata.com tearsheet [16]	Q1 2026 filings
Institutional / 13F	630 holders (-45 QoQ, -6.7%); new positions -46% QoQ (96); reduced positions +28% (175); closed +27% (128); shares held +3.7% to 200.7M; institutional ownership 54.7% (flat) — fewer, more concentrated hands	Bigdata.com tearsheet [16]	Q1 2026 filings
Insider	Not available in tearsheet; no insider transactions surfaced in post-print search	Bigdata.com	Aug 6, 2026

Financial Results Summary

Headline Numbers

Metric	Actual	Consensus	Surprise	YoY Change
Revenue	\$80.05M	~\$66.5M (FactSet)	+20.4%	+286.8% [4][5]
Adjusted EPS	(\$0.33)	(\$0.27) FactSet / (\$0.35) Benzinga	in line to +5.7%	vs (\$0.08) — widened [4][5]
GAAP EPS	(\$5.08)	~(\$0.56)	non-cash-driven miss	vs (\$0.70) [1][16]
Adjusted EBITDA	(\$120.3M); (\$95.6M) ex-SkyWater spend	Not available	—	widened [1]
Operating Margin (GAAP)	-421%	Not available	—	+~2,870bps vs -708% [16]

Key Highlights

- Record revenue of \$80.1M, 20% above the midpoint of the company’s own guidance; organic revenue +132% YoY; RPOs +297% YoY [1][3].
- FY26 revenue guidance raised to \$280–290M (from \$260–270M), vs ~\$268.6M consensus; 100% organic growth reaffirmed; excludes SkyWater [1][4].
- SkyWater acquisition closed July 31 (~\$1.8B, mostly stock) — first vertically integrated full-stack quantum platform; first fully integrated QPU prototypes back from fab and in testing; 256-qubit commissioning planned 2027 [1][3][12].

Revenue and Margin Analysis

Revenue Performance

- Total Revenue:** \$80.05M (+286.8% YoY, +23.8% QoQ vs \$64.7M) [5][16]
 - Beat consensus by ~\$13.6M (+20.4% vs FactSet ~\$66.5M); +61% vs the lower Benzinga consensus of \$49.7M [4][5]
 - Key drivers: global deployments of fifth-generation Tempo quantum computers (KISTI in Korea, QuantumBasel in Switzerland), strong cloud utilization, and multi-product momentum (quantum security, networking, space/sensing — 84 Skyloom optical terminals on orbit, double a year ago) [3]

Margins

- Gross Margin:** ~24.9% (cost of revenue excl. D&A) vs ~8.5% in Q2 2025, but down sharply from ~56.5% in Q4 2025 and roughly flat vs Q1 2026’s ~23.8% — hardware system deployments now dominate mix [16]
- Operating Margin:** -421% (loss from operations \$337.2M) vs -708% prior year — improving on scale, still deeply negative [16]
- Net Margin:** not meaningful; GAAP net loss (\$1,867.7M) driven by ~\$1.5B non-cash fair-value losses (warrants, strategic investments) plus \$270M stock-based compensation [1][16]
- Margin drivers: mix shift to hardware systems; \$24.7M of R&D spend under the SkyWater commercial agreement inside adjusted EBITDA; heavy R&D (\$160.6M GAAP) and go-to-market investment [1][3]

Operating Metrics and Segment Performance

IonQ does not report formal segments; management discloses revenue “dimensions” [3]:

Geography

- ~50% international (vs ~35% a quarter earlier) — KISTI (Korea) subsystem shipments and QuantumBasel (Switzerland) fifth-generation install; world-first deployment of two consecutive quantum computer generations at one commercial site [1][3]

Customer type

- ~60% commercial (non-US-government) for the second straight quarter — real-world application demand, not just research funding; management expects government share to grow (happily) [3]

Multi-product

- ~25% of revenue multi-product, +40% YoY — cross-selling computing + security (“en fuego” compute demand pulling QKD/security conversations post-executive-orders) [1][3]

Operational KPIs

- RPOs: +297% YoY (Q1 level was \$470M, +554% YoY) — order book growing faster than revenue [1][14]
- Organic revenue growth: +132% YoY in Q2; FY26 target 100% [3]
- Roadmap: first fully integrated QPUs from SkyWater in testing at College Park; 256-qubit systems commissioning 2027; 10,000-qubit chip beginning tape-out; path to 10,000 qubits in 2027 per management [3]

Management Guidance and Commentary

Forward Guidance

- **FY2026 Revenue (IonQ standalone):** \$280–290M, raised from \$260–270M, vs consensus ~\$268.6M [1][4]
- **Implicit 2H standalone:** \$135–145M vs H1’s \$144.7M — management declined a Q3/Q4 split and says it does “not plan for a revenue decline” [3]
- **No EPS/EBITDA guidance;** combined IonQ+SkyWater guidance from the Q3 call, complicated by elimination of ~\$120M FY26 intercompany spend, purchase accounting, and contract adjustments [3]

Strategic Priorities

1. Manufacturing quantum systems on a semiconductor roadmap with SkyWater — shift from laser/bulk-optics to electronic qubit control; target industry-leading cost per qubit [3]
2. Merchant supplier to the US and allied quantum ecosystem — supplying every modality (superconducting, photonics, ions, atoms) from the SkyWater foundry [3]
3. Quantum security ahead of “Q-Day” — new ClavisXG Multiplex QKD product; management argues cryptographically relevant machines are closer than consensus believes [1][3]

Market Conditions

Management cites the June 22 White House quantum executive orders as a structural demand signal (“quantum leadership... the defining technological competition of the 21st century”), rising urgency in financial services around RSA-2048/ECC-256 risk, and sovereign-system demand from governments; Anduril and Sandia MOUs are not yet in the numbers [1][3].

Cash Flow and Balance Sheet

Cash Generation

- **Operating Cash Flow:** (\$254.8M) in Q2, vs (\$151.0M) in Q1 2026 — burn accelerating with the hardware ramp and SkyWater commercial spend [16]
- **Free Cash Flow:** (\$273.4M); capex \$18.6M [16]
- **FCF Margin:** ~-342% — not meaningful at this stage of scaling [16]

Balance Sheet

- **Cash, equivalents and investments:** \$3.0B at June 30; ~\$2.0B pro-forma after funding the SkyWater close [1][6]
- **Total Debt:** ~\$54.5M — negligible; net cash ~\$2.0B pro-forma [16]
- **Equity/liabilities:** total liabilities jumped to \$3.44B (from \$1.70B) largely on warrant-liability re-marks; stockholders’ equity \$3.33B [16]

Capital Allocation

All-in on the roadmap: ~\$3B deployed across SkyWater and Oxford Ionics (“more than most countries,” per the CEO), plus Nexus Photonics for integrated photonics; SkyWater consideration was mostly stock, preserving cash at the price of dilution; no buybacks or dividends [1][3].

Key Surprises vs. Expectations

Magnitude and quality

- Revenue +20.4% vs consensus and +20% vs the company’s own guidance midpoint — a large beat even by IonQ’s habit of beating (the company has now beaten and raised twice this year; against its typical guidance-beat cadence this is on the order of a $\sim 2\sigma$ surprise, though a formal surprise history is not available) [1][4].

- **Quality of beat:** predominantly sustainable in the near term — real volume (system deployments + cloud utilization) backed by RPOs +297% YoY, not price, buyback, or tax effects [1][3]. The offset: it is *hardware* revenue at ~25% gross margin, so the beat does not translate into better unit economics [16].
- GAAP EPS “miss” of (\$5.08) vs ~(\$0.56) expected is one-time/non-cash in nature: (gain) loss on fair-value measurements (~\$1.5B swing), SBC (\$270M), acquisition costs, severance, and non-cash legal settlements are all added back to reach adjusted EPS (\$0.33) [1][2][16].

Positive Surprises

1. Revenue beat with breadth (international/commercial/multi-product all up) — sustainable; driven by Tempo deployments (revenue line) [1][3]
2. Guidance raised \$20M at both ends despite not including SkyWater — sustainable if deployments continue [1]
3. First integrated QPU prototypes back from SkyWater fab — roadmap de-risking milestone, ahead of the 256-qubit 2027 commissioning target [3]

Negative Surprises

1. Adjusted EBITDA loss widened to (\$120.3M), including growing SkyWater commercial spend (\$24.7M) — structural until integration; ex-SkyWater (\$95.6M) [1]
2. Gross margin stuck at ~25% for a second quarter — hardware mix appears persistent, not transitory [16]
3. Implicit H2 standalone revenue roughly flat vs H1, with no Q3/Q4 split offered — modest air pocket risk into the first combined guide [3]

Guidance Implications

The new \$280–290M range sits ~5–8% above the ~\$268.6M consensus, so sell-side FY26 numbers move up mechanically; the real estimate event is Q3’s first combined-company guidance, where intercompany eliminations (~\$120M) will make optical growth rates messy [3][4].

Analyst Reactions

Rating Changes

- Jefferies: Buy maintained, PT cut to \$75 from \$85 — “left the print with higher conviction,” sees the September analyst day as the next key catalyst [7]
- Morgan Stanley: Equalweight maintained, PT nudged to \$49 from \$48.50 [8]
- Cantor Fitzgerald: Overweight reiterated, \$70 PT maintained [9]
- Needham: Buy reiterated, \$65 PT maintained [10]

Consensus View

FactSet average rating Overweight with mean PT \$69.58 (~65–75% above the pre-print close); Bigdata.com tearsheet shows 3 Buy / 3 Hold, consensus PT \$67.13 (high \$85, low \$48.50) [8][16]. Tone: fundamentally impressed, valuation-disciplined — targets are being trimmed toward the stock rather than raised away from it.

Scenario refresh (post-print)

Spot reference: \$39.93 (Aug 5 close, pre-print); shares traded ~\$40.30 after hours and ~+8% pre-market Aug 6 (~\$43.20) [6][11][16].

Scenario	Probability (%)	Updated vs pre-print	Price / range	Implied return vs spot (\$39.93)
Bull: SkyWater integration smooth, 256-qubit commissioning on schedule, combined guidance impresses, government orders convert (Anduril/Sandia/EOs)	30%	↑ from ~25% (roadmap milestone + raise)	\$75 (Jefferies PT; below street high \$85)	+88%
Base: 100% organic growth delivered, margins stay hardware-heavy, combined guide credible but messy, burn ~\$250M/qtr	45%	~unchanged	\$55 (between MS \$49 and consensus ~\$67)	+38%
Bear: quantum sentiment unwind, milestone slippage or integration stumble, dilution accelerates; stock revisits YTD lows	25%	↓ slightly from ~30% (execution evidence)	\$22 (below 52-wk low \$25.89)	-45%

Probability-weighted view: $EV = 0.30 \times \$75 + 0.45 \times \$55 + 0.25 \times \$22 = \$22.50 + \$24.75 + \$5.50 = \textbf{\$52.75}$, $\sim +32\%$ vs the \$39.93 pre-print close and $\sim +22\%$ vs the $\sim \$43$ pre-market print. The skew is positive but rests heavily on 2027 milestones; probabilities shift bull-ward on a clean September 8 Investor Day and first combined guide.

Valuation cross-check

At the \$39.93 close: market cap \$14.9B, EV $\sim \$13.7B$, EV/TTM sales $\sim 56x$, P/S $\sim 60x$, P/B 4.4x, FCF yield -4.3% [16]. On the new guide, EV is $\sim 48x$ FY26E midpoint sales (\$285M) — before adding SkyWater's revenue (which exceeds IonQ's today, per management) that will optically compress the multiple next quarter [3]. Against its own history the stock is 53% below the 52-week high (\$84.64) and -11% YTD despite five record quarters — multiple compression has been doing the work, not fundamentals [16][12]. Does the reaction fit the print? A $\sim 5\text{--}8\%$ pre-market gain on a 20% revenue beat plus raise is a *muted* reaction for a 3.2-beta name — consistent with a market that already assumed beats and remains anchored on profitability timing and dilution [11][12]. The price embeds the new standalone guidance; it does not yet clearly price combined-company economics either way.

Investment Implications

Business Fundamentals Assessment

Genuinely strong commercial quarter: the beat was volume-driven, forward-booked (RPO +297%), and diversified across geography, customer type, and product line — the highest-quality revenue print in the company's history, headline GAAP loss notwithstanding (which is $\sim 80\%$ non-cash marks) [1][3][16]. The unresolved fundamental issues are gross margin ($\sim 25\%$ hardware economics), operating cash burn ($\sim \$255M$ /qtr and rising), and reliance on continued equity funding of the roadmap.

Forward Outlook

H2 standalone looks roughly flat vs H1, so the growth narrative hands off to (1) the combined-company guide at Q3, (2) 256-qubit commissioning progress into 2027, and (3) conversion of government/defense pipeline (EOs, Anduril, Sandia, NRO, DARPA) into RPOs [1][3][13]. Liquidity ($\sim \$2.0B$ pro-forma) covers roughly 7-8 quarters at the current burn before further raises [1][16].

Key Risks and Opportunities

Risks: integration of a larger-revenue, different-vertical business (SkyWater); technical milestone slippage; persistent hardware margins; dilution; a sentiment unwind across quantum names; satellite/regulatory oversight of the space business [3][15]. Opportunities: national-priority policy tailwind, merchant-foundry revenue from the rest of the quantum industry, quantum security demand pull-forward as Q-Day fears compress timelines, cross-selling across four product TAMs [1][3].

Closing (structured): Net assessment: **Positive** because the beat was broad-based, forward-booked, and paired with a raise, while the GAAP loss is overwhelmingly non-cash; key risk: hardware-heavy margins plus $\sim \$255M$ /qtr cash burn against a valuation still near 50x forward sales; next catalyst: **Investor Day, September 8, 2026 (NYSE)**, followed by Q3's first combined IonQ+SkyWater guidance [3].

Sources

[1] (IonQ press release — IonQ Announces Record Second Quarter 2026 Revenues, Growing 287% YoY — Aug 5, 2026) [https://app.bigdata.com/documents/4C2E2F851E61254CEECE265909F84470] [2] (Benzinga — IonQ Announces Record Second Quarter 2026 Revenues — Aug 5, 2026) [https://app.bigdata.com/documents/F6DC3435383B0F65EBDB18DC1F32EB93] [3] (Quatr Transcripts — IonQ Inc: Q2 2026 Earnings Call — Aug 5, 2026) [https://app.bigdata.com/documents/E0CABF88A57D0E7317566B791D305FB7] [4] (MT Newswires — IonQ Q2 Adjusted Loss Widens, Revenue Rises; Lifts 2026 Sales Guidance — Aug 5, 2026) [https://app.bigdata.com/documents/D6690670A4768BCE9BAE427537E3DEFF] [5] (Benzinga — IonQ Q2 Adj. EPS \$(0.33) Beats \$(0.35) Estimate — Aug 5, 2026) [https://app.bigdata.com/documents/72844DEE2DEA667588419A7E587FF6AB] [6] (Benzinga — IonQ Posts Q2 Double Beat, Raises 2026 Outlook, Shares Rise — Aug 5, 2026) [https://app.bigdata.com/documents/5C0233AE9C520EA4BC48C26B0B6470F9] [7] (The Fly — IonQ price target lowered to \$75 from \$85 at Jefferies — Aug 6, 2026) [https://app.bigdata.com/documents/1F0C5E642D0F0387A0DF1609A796D9D4] [8] (MT Newswires — Morgan Stanley Adjusts Price Target on IonQ to \$49, Maintains Equalweight — Aug 6, 2026) [https://app.bigdata.com/documents/A0D8489410793217873C49BB730596C0] [9] (Benzinga — Cantor Fitzgerald Reiterates Overweight on IonQ, \$70 PT — Aug 6, 2026) [https://app.bigdata.com/documents/C95E9898A433C0F1D9BCB61DFE5FDC0A] [10] (Benzinga — Needham Reiterates Buy on IonQ, \$65 PT — Aug 6, 2026) [https://app.bigdata.com/documents/0525B45F431F330F4F1E8239314191B0] [11] (Sohu — IonQ rises more than 8% before market — Aug 6, 2026) [https://app.bigdata.com/documents/947862CD4EFD3F53254294DAFD7A433F] [12] (Money Today — IonQ's Revenue Soars Fourfold... Only 1% After-Hours Stock Gain — Aug 6, 2026) [https://app.bigdata.com/documents/47BF2C6DCDF8B6BE52761AC408DD7291] [13] (Benzinga — IonQ shares trading higher; Capella NRO contract, DARPA extension — Aug 6, 2026) [https://app.bigdata.com/documents/0A482C7826D0AE899322E4BC316B94F5] [14] (The Globe And Mail — IonQ Is Worth \$13 Billion and Sits 58% Below Its High — Aug 3, 2026) [https://app.bigdata.com/documents/24CCD8CBCABFECBDB8FAEC9475E1EE8B] [15] (The Globe And Mail — BigBear.ai vs. IonQ: Which Tech Stock Is a Better Buy in 2026 — Aug 4, 2026) [https://app.bigdata.com/documents/048C255B4C7B1DC98EE9229DDEDD8B3C3] [16] (Bigdata.com company tearsheet — IonQ, Inc., financials/estimates/positioning — as of Aug 6, 2026) [https://bigdata.com]

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